

upward but begins receding the week before the breakout. It is exceptionally low just before the downward breakout.

Once price closes below the lower trendline, investors usually sell, helping drive price down. However, volume is low on this breakout. Price need not have high volume to recede; sometimes it can fall on its own weight.

If you shorted the stock after the downward breakout, you would have visited the woodshed for punishment, not because you did something wrong. Rather, because price turned around and headed higher. In less than 2 weeks, price climbed above the wedge top. In another 3 months, price finally broke out of its consolidation zone and really began climbing. In July, it reached a new high of over 95.

This rising wedge did not act as a continuation pattern (although technically it was). Rather, price fell into the pattern and turned higher just as the wedge formed. Even though the breakout was downward, the stock continued rising.

Statistics

[Table 74.2](#) shows general statistics for rising wedges.